

MEMORANDUM FOR SOUTH ATLANTIC LNG WEST AFRICA LIMITED

Re: Proposed Termination of Gas and Sale and Purchase Agreement –
Exit Options and Other Issues Arising

1. Introduction

- 1.1. This memorandum (“**Memo**”) is delivered to South Atlantic LNG West Africa Limited (“**SALNG**”) further to your e-mail to us dated April 23, 2026 (the “**E-mail**”). By the E-mail, we understand that SALNG intends to exit the Gas Sale and Purchase Agreement dated November 22, 2024 between SALNG (as buyer) and MSN Energy Resource Limited (as seller) (“**MSN**”) for the supply and delivery of natural gas to SALNG (the “**GSPA**”) (the “**Project**”).
- 1.2. We understand that SALNG intends to exit the GSPA to secure a more competitive commercial terms and long-term feedstock for its 5 million standard cubic feet (MMSCFD) mini-liquefied natural gas plant project (the “**Project**”). You have requested that we advise SALNG on the legal and commercial consequences of this termination, specifically focusing on potential penalties, liabilities, and ongoing obligations that may arise upon termination.
- 1.3. In preparing this Memo, we have reviewed the (i) GSPA, and (ii) (a) Equity Agreement (“**EA**”), (b) Joint Venture Accounts Agreement (“**JVAA**”), and (c) Joint Venture and Operating Agreement (“**JVOA**”), all dated February 3, 2026 and entered into between the Midstream and Downstream Gas Infrastructure Fund (“**MDGIF**”) and SALNG (together, the “**MDGIF Project Agreements**”).
- 1.4. Our summary advice is set out in paras. 2.1 – 2.6 below, and our detailed analysis is in paras. 3.1 – 3.13 below
- 1.5. Words used but not defined in this Memo shall have the meanings ascribed to them in the GSPA.

2. Executive Summary

- 2.1. Until the Effective Date occurs, the GSPA may be terminated by written agreement of the parties. The GSPA does not provide for, or require, any party to make termination payment where the GSPA is terminated. In such instance, SALNG will not incur any penalty or liability upon termination.
- 2.2. SALNG may exit the GSPA (a) by entering into a written agreement to terminate with MSN, or (b) where MSN fails to renegotiate the terms of the GSPA following a change in law that significantly affects the economic structure of the GSPA, or (c) by assigning its rights and obligations under the GSPA to a third party, subject to MSN’s written consent. In our view, the least complicated and more straightforward approach would be for SALNG to negotiate a written termination agreement with MSN.
- 2.3. As between SALNG and MDGIF, SALNG is obligated to promptly notify MDGIF in writing of any fact or circumstance known to it which is materially inconsistent with its

representation and warranties in the MDGIF Project Agreements.

- 2.4. The Project Steering Committee established under the JVOA will be involved in the process for the termination of the GSPA and the plans to engage a successor supplier of gas. Failure to involve the Project Steering Committee will constitute a breach of the JVOA.

3. **Analysis**

Possible Exit Options

- 3.1. The GSPA provides that the GSPA shall terminate at the earliest of the following:
- 3.1.1. the fifth (5th) anniversary of the date that MSN commences delivery of gas to SALNG;
 - 3.1.2. MSN delivering the Contract Quantity of gas to SALNG;
 - 3.1.3. written agreement of the Parties to terminate;
 - 3.1.4. non-occurrence of the effective date due to failure to satisfy the conditions precedent stipulated in the GSPA within twenty-one (21) months from the execution date;
 - 3.1.5. failure of the parties to renegotiate the terms of the GSPA following a change in law which fundamentally alters the economic underpinnings of the GSPA;
 - 3.1.6. where *force majeure* has continued for a consecutive period of six (6) months or a cumulative period of six (6) months within a twelve (12) month period; and
 - 3.1.7. termination by MSN due to SALNG's default to pay after the expiration of a period of thirty (30) days following the exercise of MSN's right to suspend delivery of gas. (See generally, GSPA, clauses 2.1.1 and 13.1.)
- 3.2. While termination of the GSPA under paras. 3.1.1, 3.1.2 and 3.1.4 above is automatic, either SALNG or MSN can terminate the GSPA under paras. 3.1.5 and 3.1.6 above. However, on our facts, none of the events in paras. 3.1.1, 3.1.2, 3.1.4, 3.1.5, 3.1.6 and 3.1.7, has occurred to trigger the termination of the GSPA.
- 3.3. The most practicable option for SALNG is to agree in writing with MSN to terminate the GSPA. Please note that the GSPA does not provide for the mechanics for termination in this manner. SALNG can also terminate where MSN fails to satisfy the conditions precedent provided in the GSPA. Otherwise, SALNG will be liable for repudiatory breach, and MSN could claim for damages against SALNG. See *NEPA v. Isievwore* (1997) 7 NWLR (Pt. 511) 135.

Potential Liabilities of SALNG arising from Termination of the GSPA

- 3.4. Termination of the GSPA is without prejudice to the rights and obligations of the parties

existing or that have accrued at the date of termination (GSPA, clause 13.2). However, by clause 2.6 of the GSPA, MSN has no obligation to sell or make gas available for delivery to SALNG until the “Effective Date”. Similarly, SALNG has no obligation to pay for or take delivery of gas until the “Effective Date”.

- 3.5. “Effective Date” is defined in the GSPA as the date SALNG notifies MSN that all conditions have been met (GSPA, clause 2.4). Until then, the rights and obligations of the parties to deliver and purchase gas under the GSPA will not accrue.
- 3.6. The GSPA does not provide for termination payment in the event of termination. However, a party can enforce rights and obligations existing or that have accrued at the date of termination (GSPA, clause 13.2). Similarly, a party can sue for damages where the procedure for termination is in breach of the GSPA.

Notification to MDGIF on the Proposed Termination of the GSPA

- 3.7. By clauses 6.1(c) and 11.1(g) of the EA, SALNG represented and warranted to MDGIF that it has “concluded all negotiations under the GSPA with off-takers” and that “no event, change, circumstance or development has occurred, nor is reasonably likely to occur which has had or could reasonably be expected to have a material adverse effect on its business, assets, liabilities, financial condition or prospects, or on its ability to perform its obligations under this Agreement [the EA]”.
- 3.8. SALNG also undertook to promptly notify MDGIF in writing of any fact or circumstance known to it after the date of the EA that is materially inconsistent with its representation and warranties or could make them incorrect or misleading (EA, clause 11.4; and JVOA, clause 4.1(d)). Accordingly, any termination of the GSPA will be inconsistent with SALNG’s representation that it has concluded negotiations and may constitute a breach of the EA to which MDGIF may have a right to terminate under clause 10.2(b) of the EA.
- 3.9. The Project Steering Committee constituted under the JVOA (clause 7.1) is responsible for overseeing strategic decisions and the implementation of the Project, as well as ratifying the engagement of qualified contractors and other personnel for the execution of the Project (JVOA, clauses 3.3 and 7.2(a), (b) and (e)). The Project Steering Committee comprises the Executive Director of MDGIF or his nominated representative, the Chief Executive Officer of SALNG, the Secretary to the Governing Council of MDGIF, and two (2) representatives of each of MDGIF and SALNG. Based on the above, the Project Steering Committee will have to be notified of the termination of the GSPA.
- 3.10. Failure to involve the Project Steering Committee will constitute a breach of the JVOA.

Other Risks arising from Termination

- 3.11. Failure to involve MDGIF through the Project Steering Committee will constitute a breach of the JVOA. In which case, MDGIF will no longer be obligated to deposit its share of equity commitment to the Project. (EA, clauses 5.1 and 8.1(a)).
- 3.12. Where the GSPA is terminated and/or a new GSPA is entered into without engaging

MDGIF in accordance with the terms of the MDGIF Project Agreements, MDGIF may withhold the disbursement of its portion of the equity commitment to the Project. This will impact Project timelines and result in additional cost overruns.

4.

Conclusion

We hope that the foregoing meets your requirements. Please do not hesitate to contact our Okechukwu Okoro (okechukwu.okoro@gelias.com; +234 803 770 1610), Lolia Biobele-Georgewill (lolia.georgewill@gelias.com; +234 701 414 2286), or Victor Ayo-Odewale (victor.ayo-odewale@gelias.com; +234 812 622 8239) should you require any further clarification.

For G Elias



May 5, 2026